BEFORE THE CITY COUNCIL OF THE CITY OF CONCORD
COUNTY OF CONTRA COSTA, STATE OF CALIFORNIA

A Resolution Calling for and Giving Notice of a November 3, 2026, Election on a Proposed Business License Tax Simplification Ballot Measure; and Establishing the Policies and Procedures for Such an Election and Requesting that the County of Contra Costa Conduct Such an Election

Resolution No. 26-XX

WHEREAS, the City's current gross receipts business license tax rate schedule is approximately 40 years old and includes graduated tiers of annual gross receipts used to calculate the business license tax; and

WHEREAS, the City's gross receipts business license tax rate structure has remained substantially unchanged since its adoption despite significant changes in the local economy, business practices, and the scale and diversity of businesses operating within the City; and

WHEREAS, the City Council has reviewed the existing gross receipts business license tax rates and determined that the current tiered gross receipts business license tax rates result in unequal effective tax rates among businesses because businesses with lower gross receipts pay a proportionately higher effective tax rate than businesses with higher gross receipts; and

WHEREAS, the City Council finds that this regressive tax structure places a disproportionate burden on smaller businesses and is inconsistent with the City's objective of maintaining a fair, equitable, and transparent business license tax system; and

WHEREAS, the City Council further finds that replacing the existing tiered gross receipts business license tax rate schedule with a single uniform business license gross receipts tax rate will establish a more equitable tax structure by ensuring that all businesses subject to the gross receipts tax pay the same rate on their taxable gross receipts, regardless of the size of the business; and

WHEREAS, the City Council finds that a uniform gross receipts tax rate will simplify the administration of the City's business license tax program, improve transparency for taxpayers, and provide a fairer method of allocating the cost of municipal services among businesses operating within the City; and

WHEREAS, the amendments adopted by this Ordinance are intended solely to revise the method of calculating the City's business license tax and to modernize the City's revenue system while continuing to raise revenue for general municipal purposes, and are not intended to regulate any business, occupation, profession, or activity; and

WHEREAS, the City Council adopted the Fiscal Year (FY) 2025-26 and FY 2026-27 Biennial Budget on June 10, 2025, and adopted certain budget amendments for FY 2025-26 and FY 2026-27 to support continued service delivery and operational priorities; and

WHEREAS, at its February 10, 2026, meeting, the City Council adopted amendments to the Municipal Operating Budget for Fiscal Years 2025-26 and 2026-27 that recognized the need to implement long-term, locally controlled budget stability strategies to address the fiscal challenges immediately and to continue to preserve the level of services desired by residents of the City; and

WHEREAS, the City continues to face a significant infrastructure funding deficit of approximately $24.7 million annually. This includes $18 million to maintain roadway conditions and $6.7 million to support parks, medians, and community facilities. Additional costs associated with long-standing infrastructure systems, such as stormwater, have not yet been fully evaluated, which suggests the total long-term need is even greater; and

WHEREAS, the City Council directed its Infrastructure and Franchise Committee ("Committee") to evaluate revenue options to address this deficit, with duly noticed public meetings, business roundtables, Chamber of Commerce outreach, and community surveys taking place in late 2025 and throughout 2026, which showed early support for updating and simplifying Concord's gross receipts business license tax rate schedule; and

WHEREAS, as a result of robust public input and financial modeling, on June 23, 2026, the Committee recommended advancing discussion of placing a business license tax simplification measure on the November 2026 ballot to generate $2.9 million of additional locally controlled annual revenue that cannot be taken by the State ("Business License Tax Simplification Ballot Measure") to the full Council for consideration; and

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WHEREAS, at a public meeting on July 28, 2026, the Council considered placing a measure on the ballot for the November 3, 2026, General Election seeking voter approval of the Business License Tax Simplification Ballot Measure; and

WHEREAS, at that meeting, the City Council concluded that all of the information presented indicated that, to obtain additional revenue necessary to maintain and preserve service levels, the Council should, at the November 3, 2026, General Election, place a measure before the voters of the City of Concord and ask the voters of the City to approve the Business License Tax Simplification Ballot Measure; and

WHEREAS, this measure will update Concord's nearly 40-year-old business license structure so larger businesses pay their fair share, and homeowners don't shoulder the cost of maintaining Concord's safety and quality of life; and

WHEREAS, approval of this measure will not increase taxes on homeowners or residents who are not business owners; and

WHEREAS, residents continue to highly rate Concord's quality of life and satisfaction with City services; and

WHEREAS, the community's top priorities include repairing potholes and maintaining neighborhood and major streets, maintaining 9-1-1 emergency response, keeping park and playgrounds safe and clean for kids, relieving traffic congestion along major corridors, and maintaining senior and youth programs; and

WHEREAS, the City is committed to maintaining the high-quality services that keep neighborhoods, roads, parks, and public spaces safe for everyone; and

WHEREAS, by law, funds from the Business License Tax Simplification Ballot Measure cannot be taken by Sacramento or the federal government; and

WHEREAS, the City wishes to maintain the high-quality municipal services, facilities, parks, and public infrastructure upon which Concord residents and businesses rely; and

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WHEREAS, the City of Concord maintains approximately 636 acres of developed parkland, 68 municipal facilities totaling approximately 373,500 square feet, and approximately 65 million square feet of public streets, all of which require ongoing maintenance, repair, and replacement to ensure the continued delivery of essential public services; and

WHEREAS, the City estimates that approximately $25 million in annual funding is needed to maintain, repair, and rehabilitate its street infrastructure; continued investment in the City's roads, parks, public buildings, and other municipal infrastructure is necessary to preserve public assets, improve safety, support economic vitality, and ensure that residents, businesses, and first responders can safely access homes, businesses, and community facilities; and

WHEREAS, maintaining and modernizing the City's public facilities and infrastructure enhances the City's ability to prepare for, respond to, and recover from public health emergencies, natural disasters, and other unforeseen events while continuing to provide essential municipal services; and

WHEREAS, this measure includes strict accountability and transparency provisions, including public disclosure of all spending, financial audits, and yearly reports to the community to ensure that $2.9 million in additional funds are spent locally and as promised; and

WHEREAS, the tax, if approved as a result of the adoption of the Business License Tax Simplification Ballot Measure, will be in place until repealed by the voters of the City of Concord. Unless otherwise provided in the ordinance, the ordinance will change the existing tiered gross receipts business license tax rates to one-tenth of one percent (0.1%) of the annual gross receipts derived from certain business activity in the City of Concord and exempt from such gross receipts tax those businesses having annual gross receipts that do not exceed $5,000. The tax revenue will be collected by the City of Concord Department of Finance and retained, administered, and expended by the City. The tax shall be approved if the measure receives at least a simple majority of affirmative votes; and

WHEREAS, the California Constitution, Article XIIIC, Section 2(b), requires that a proposed general tax be submitted to the voters at a general municipal election; and

WHEREAS, Government Code Section 37101 authorizes the City Council to fix rates for business license taxes, and Business and Professions Code Section 16000 authorized the City Council to fix rates for business license fees (taxes); and

WHEREAS, Government Code section 53724 authorizes the City Council, by a two-thirds vote of all its members, to propose a general tax; and

WHEREAS, Elections Code section 9222 authorizes the City Council to submit an ordinance directly to the voters; and

WHEREAS, Elections Code Sections 9281 through 9287 set forth the procedures for primary arguments in favor of and in opposition to any City measure and for rebuttal arguments; and

WHEREAS, on June 23, 2026, the City Council adopted Resolution No. 26-43, calling for the City's General Municipal Election and Specifications of the Election Order to be held on the same day as and consolidated with the Statewide Election to be held on November 3, 2026. It is desirable that the election called by this Resolution be consolidated with the General Election, and that within the City, the precincts, polling places and election officers of the two elections be the same, and that the Election Division of the County of Contra Costa canvass the returns of the General Municipal Election and that the election be held in all respects as if there were only one election.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF CONCORD DOES RESOLVE AS FOLLOWS:

Section 1. The foregoing recitals are true and correct and are hereby incorporated by reference.

Section 2. Pursuant to California Constitution Article XIIIC, Section 2, Government Code Section 53724, Government Code Section 37101, Business and Professions Code Section 16000, Elections Code Section 1405, and Elections Code Section 9222, the City Council of the City of Concord hereby calls an election at which it shall submit to the qualified voters of the City, a measure that, if approved, would amend the City's business license tax ordinance. This measure shall be designated by letter by the Contra Costa County Elections Department. Pursuant to Elections Code Section 10400 *et seq*., the election for this measure shall be consolidated with the General Municipal Election to be conducted on November 3, 2026. The City Council acknowledges that the consolidated election will be held and conducted in the manner prescribed in Elections Code Section 10418.

Section 3. The question to be presented to the voters shall be as follows:

To protect City of Concord services/ensure smaller businesses pay less than larger businesses, shall the measure be adopted to: repair potholes on neighborhood and major streets; maintain 9-1-1 emergency response; keep parks/playgrounds safe/clean; relieve traffic congestion along major corridors; maintain senior/youth programs; for general government use; by updating Concord's 37-year-old business license rates to 0.1% of gross receipts until ended by voters, providing an additional $2,900,000 annually, requiring independent citizen oversight?	**YES**	
	NO	

This question requires the approval of a majority of qualified electors casting votes.

Section 4. The ordinance authorizing the general tax to be approved by the voters pursuant to Sections 2 and 3 of this Resolution is as set forth in Exhibit A hereto. The City Council hereby approves the attached ordinance, the form thereof, and its submission to the voters of the City at the November 3, 2026, election. The Board of Supervisors of the County of Contra Costa is requested to order the County Clerk to set forth in the voter information portion of all sample ballots to be mailed to the qualified electors of the City the full text of the Ordinance and to mail with the sample ballots to the electors printed copies of the full text of the Ordinance, together with the primary arguments and rebuttal arguments (if any) for and against the measure, and to provide absent voter ballots for the election for use by qualified electors of the City who are entitled thereto in the manner provided by law.

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Section 5. The City Clerk is authorized, instructed and directed to work with the County Elections Division as needed in order to properly and lawfully conduct the election. The ballots to be used in the election shall be in form and content as required by law. The County Elections Division is authorized to canvass the returns of the general municipal election. In all particulars not recited in this Resolution, the election shall be held and conducted as provided by law for holding municipal elections.

Section 6. Pursuant to Elections Code Section 10002, the City Council of the City of Concord hereby requests the Board of Supervisors of Contra Costa County to permit the County Elections Division to provide such services as may be necessary for the holding of the consolidated election. The election shall be held in all respects as if there were only one election. The City of Concord recognizes that the County will incur additional costs because of this consolidation and agrees to reimburse the County for those costs. The City Manager is hereby authorized and directed to expend the necessary funds to pay for the City's cost of placing the measure on the election ballot.

Section 7. The polls for the election shall be open at 7:00 a.m. on the day of the election and shall remain open continuously from that time until 8:00 p.m. that same day, when the polls shall be closed, except as provided in Section 14401 of the Elections Code of the State of California. The notice of the time and place of holding the election is hereby given, and the City Clerk is authorized to give further notice of the election, as required by law.

Section 8. The City of Concord agrees that the deadline dates are as designated by the County Elections Official.

(a) The last day to submit this resolution to place the Business License Tax Simplification Ballot Measure on the ballot is August 7, 2026.

(b) The last day for submission of primary arguments for or against the measure shall be by 5:00 p.m. on August 19, 2026.

(c) The last day for submission of rebuttal arguments for or against the measure shall be by 5:00 p.m. on August 24, 2026.

(d) Primary arguments shall not exceed three hundred (300) words and shall be signed by not more than five persons.

(e) Rebuttal arguments shall not exceed two hundred fifty (250) words and shall be signed by not more than five persons; those persons may be different persons than the persons who signed the primary arguments.

(f) Pursuant to California Elections Code Section 9280, the City Council hereby directs the City Clerk to transmit a certified copy of the measure to the City Attorney. The City Attorney shall prepare an impartial analysis of the measure, not to exceed 500 words in length, showing the effect of the measure on the existing law and the operation of the measure, and transmit the impartial analysis to the Elections Division by August 14, 2026.

(g) Pursuant to California Elections Code Section 9285, when the City Clerk has selected the arguments for and against the measure, which will be printed and distributed to the voters, the City Clerk shall send copies of the argument in favor of the measure to the authors of the argument against, and copies of the argument against to the authors of the argument in favor. Rebuttal arguments shall be printed in the same manner as the primary arguments. Each rebuttal argument shall immediately follow the primary argument, which it seeks to rebut.

Section 9. The City Clerk is directed to file certified copies of this Resolution with the Board of Supervisors and the County Clerk of the County of Contra Costa, together with the attached ballot measure. The City Clerk shall make a copy of this Resolution, and Ordinance No. 26-XX, attached to this Resolution as Exhibit A, available in print and for public examination, in accordance with Elections Code Sections 9223 and 9295.

Section 10. The approval of this Resolution is exempt from the California Environmental Quality Act (Public Resources Code §§ 21000 *et seq.*, "CEQA," and 14 Cal. Code Reg. §§ 15000 *et seq.,* "CEQA Guidelines") including without limitation Public Resources Code section 21065, CEQA Guidelines section 15378(b)(4) and 15061(b)(3), as it can be seen with certainty that there is no possibility that the activity authorized herein may have a significant effect on the environment and pursuant to Public Resources Code section 21080(b)(8), and it statutorily exempt pursuant to CEQA Guidelines section 15273 as the approval of government revenues to fund existing services. The

Business License Tax Simplification Ballot Measure to be submitted to the voters is a general tax that can be used for any legitimate governmental purpose; to enact it is not a commitment to any particular action. As such, under CEQA Guidelines Section 15378(b)(4), the tax is not a project within the meaning of CEQA because it creates a government funding mechanism that does not involve any commitment to any specific project that may result in a potentially significant physical impact on the environment. If revenue from the tax were used for a purpose that would have such effect, the City would undertake the required CEQA review for that particular project. Therefore, under CEQA Guidelines Section 15060, review under CEQA is not required.

Section 11. This Resolution shall become effective immediately upon its passage and adoption.

PASSED AND ADOPTED by the City Council of the City of Concord on July 28, 2026, by the following vote:

AYES: Councilmembers -

NOES: Councilmembers -

ABSTAIN: Councilmembers -

ABSENT: Councilmembers -

I HEREBY CERTIFY that the foregoing Resolution No. 26-XX was duly and regularly adopted at a regular meeting of the City Council on July 28, 2026.

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Joelle Fockler, MMC
City Clerk

APPROVED AS TO FORM:

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Susanne Meyer Brown
City Attorney

Attachment: Exhibit A - Ordinance No. 26-XX
Exhibit 1 thereto - Redlined Changes to Concord Municipal Code Title 5 (Business Licenses and Regulations) Chapter 5.05 (Business Licenses)

cc: Contra Costa County Board of Supervisors
Contra Costa County Clerk Recorder